OneSource Specialty Pharma Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: ONESOURCE · BSE: 544292 · Report prepared 11 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1. Snapshot

What the business does: OneSource is a contract drug maker (a CDMO, contract development and manufacturing organisation). It doesn't sell medicines under its own name. It makes them for other drug companies. Its speciality is filling a drug into a glass cartridge and building that into a pen the patient injects at home. The big opportunity is generic semaglutide (the weight-loss and diabetes drug sold by the inventor as Ozempic and Wegovy), which is coming off patent country by country. It also makes sterile injectables, soft-gel capsules and early-stage biologics (medicines grown in living cells). It was carved out of Strides Pharma and listed in January 2025.

Measure	Value	What it means in plain words
Market cap	₹18,191 cr	What the market says the whole company is worth, at ₹1,586 a share.
Q2 FY27 revenue	₹514 cr	Sales in the September 2026 quarter, up 37% on a year ago and 15% on the June quarter. Its best quarter yet.
Q2 FY27 operating margin	31%	Operating profit (EBITDA, profit before interest, tax and depreciation) of ₹158 cr, about 31 paise per rupee of sales. Up from 26% last quarter and 4% in Dec 2025.
Q2 FY27 net profit	₹86 cr	Third profitable quarter in a row after the Dec 2025 loss. Tax is near zero because old losses are being used up.
Borrowings (Sep 26)	₹1,755 cr	Debt, still climbing (₹1,504 cr in March). The build-out of new lines is paid for with loans.
Debtor days (FY26)	191 days	Customers take over six months to pay. Management says shipping delays added 45 to 60 days in this half.
P/E	178	The price is 178 times the last year's profit. The market is paying for FY28, not today.
Promoter holding	30.5%	Flat for three quarters. Domestic funds keep buying (24.2%, up from 18.8% in Dec 2025).

Figures are Screener's quarterly table (standalone). Management quotes consolidated revenue of "more than ₹500 crore" and a 32% margin for the quarter, so the two line up closely.

2. Concall coverage

Quarter	Call date	Transcript read?
Q3 FY25 → Q4 FY26 (6 calls)	Jan 2025 to May 2026	Carried forward from the Q1-2027 report
Q1 FY27	25 Jul 2026	Boundary call of the Q1-2027 report (read in full then)
Q2 FY27	27 Oct 2026	Newly deep-read in full ★

Eight calls exist in total since listing, about 21 months. Only the October 2026 call was read in full this quarter; the backstory comes from the prior report. The record is still short, so the consistency read stays provisional.

★ Latest concall highlights - Q2 FY27 (call held 27 Oct 2026)

- **Third quarter of growth in a row.** Revenue up 37% on the year and 15% on the quarter; operating profit up 53% on the year. Margin jumped about four points in one quarter to 32%. Management's reason: each extra pen costs little to make once the line is running.
- **Line two is running, line three has slipped.** The second cartridge line started commercial batches in September, which doubles sterile production days. The third line has arrived from Germany and is being qualified, but its start "might get pushed to the start of FY28" instead of inside FY27. Gulf shipping delays were blamed for both.
- **Dr. Reddy's is coming back.** Its API (the raw drug) supply restarted, and supplies from OneSource should start this quarter, first to Canada. Hikma launched the first generic semaglutide in Saudi Arabia from OneSource product.
- **FY28 target held:** US$400 million revenue and US$160 million operating profit (a 40% margin). Second half of FY27 guided stronger than the first.
- **Cash is the soft spot.** Customers paid slower (shipping delays, says the CFO, "temporary"). Debt kept above where they once promised; the new promise is debt under 1.5 times operating profit and a high-20s return on capital by end FY28.

Business mix & capacity. Segment and domestic/export split: **not disclosed**, as on every call (customer confidentiality). Plain read: you can't size the pen business on its own. Contracts are factory-gate, so freight and tariff risk sits with customers. **Pens:** line one runs flat out at about 225 sterile days a year (roughly 50,000 to 55,000 pens a day). Line two, live since September, runs 500-litre batches, about 120,000 to 130,000 pens a day, and should fill fast. Line three is on site, start Q4 FY27 or early FY28. **Soft gel:** capacity was tripled; "80% plus" of it is now spoken for, and the current site can't grow further, so a new greenfield site is planned. **Injectables:** the Bangalore site is shut this quarter to add freeze-drying and prefilled syringes, back from January.

★ Since our last report

Builds on the Q1-2027 report (call 25 Jul 2026). Prior verdicts: earning trigger **YES**, management consistent **MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger	Real and in the numbers, but off one full line	Another record quarter; margin up again; line two live	Confirmed
Consistency	Strategy steady, timelines and debt keep slipping	FY28 target held again; line three slipped again; debt up again	Unchanged
Line two live in Q2 FY27	Promised "this quarter"	Commercial batches from September	Delivered
Line three within FY27	Promised by end FY27	Now "might get pushed to the start of FY28"	Slipping
Dr. Reddy's supply break	Management said other customers filled the gap	API restarted; supplies due this quarter	Improving
Sequential growth	Promised each quarter	Revenue +15%, operating profit +32% on the quarter	Delivered

The prior report had no checkpoint box. Promise-to-watch results: **Delivered | Slipping (Partly) | Improving (Partly) | Delivered**.

Verdict change: both unchanged. The trigger got stronger in the numbers. On consistency, line two landing on time is a plus, but line three's slip and rising debt fit the same old pattern.

★ 3. Earning-trigger thesis

Generic semaglutide pens are the engine. Every one needs a specialised sterile filling line and a pen assembly line, and OneSource had both built before the rush. Outside facts back this up: all four Canadian generic approvals are for product made at its site, India's monthly generic pen sales went from about 20,000 to over 200,000 since February, and Hikma just launched in Saudi Arabia from OneSource. Supply, not demand, has held it back. Line two has now doubled production days and runs batches about two and a half times bigger. That's why the margin keeps rising. The catch is still the timeline: FY28's target needs line three running, and line three just slipped by a quarter.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Generic GLP-1 pen filling	All major customers in Canada, Brazil, India; demand is "supply constrained"	Revenue +37%, margin 31%; Hikma Saudi launch; Dr. Reddy's restarting	Now → 3 yrs	Strong	↑ second record quarter
Line two and three	Line two "fairly quick ramp-up"; all three lines for FY28	Line two live Sept; line three on site, start pushed toward FY28	0 to 2 qtrs	Moderate	Unchanged (one on time, one late)
Biologics	RFP funnel "highest ever"; commercial revenue from FY29	Two US biotech projects, an animal-health win; still development fees	3 to 5 yrs	Moderate	Unchanged
Soft gel and injectables	Soft gel "80% plus" booked; new freeze-drying from Jan	Both grew; injectables site shut this quarter	1 to 3 yrs	Moderate	↑ soft gel use finally quantified

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	"We are currently in a significant investment cycle"; aim is under 1.5x debt to operating profit, not a cut (27 Oct 2026)
New business	Yes	Biologics wins: "2 projects for end-to-end development to commercialization from a U.S. biotech" (27 Oct 2026)
Margin up	Yes	"Margin expanded more than 400 basis points quarter-on-quarter, reaching 32%" from operating leverage (27 Oct 2026)
New management	No	Same CEO and CFO
New capacity	Yes	"Second cartridge line is now running commercial batches" since September; third line at site for qualification (27 Oct 2026)
Big orders	No	Six new wins across segments but no order book figure given
Turnaround	No	Profitable for three quarters, but not framed as a turnaround on the call
Promoter buying	No	Not mentioned

Single concrete driver: the second semaglutide cartridge line, live since September with batches about two and a half times bigger, is filling with pens for Canada, India and new markets, and a third line follows for FY28.

3c. Margin bridge

Margin is about 31% now against 27% a year ago and 4% in December 2025. Management puts it down to operating leverage: the new line adds output while costs rise only a little, and raw materials are passed through to customers.

Staff costs keep rising as the flagship site is staffed up, which they call planned. They expect it to keep climbing toward 40% by FY28 (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q3 FY25 (Jan 25)	Debt free before end FY27	Borrowings ₹942 cr → ₹1,504 cr → ₹1,755 cr; goal swapped for a leverage ratio	Missed
Q3 FY25 (Jan 25)	Cartridge capacity up 5x to 220 million units	Conceded only 15-20 million deliverable; metric changed to sterile days	Walked back
Q1 FY26 (Aug 25)	All capacity qualified by end CY2026; FY28 raised to US$500m	Slipped to FY27, now FY28; US$500m withdrawn after the related-party deal was shelved	Reversed
Q2 FY26 (Nov 25)	Warned next quarter may look bad	It did (Dec 2025 loss); nobody was surprised	Delivered
Q4 FY26 (May 26)	Sequential growth every quarter	Q1 and Q2 FY27 both up on the quarter, margin up both times	Delivered
Q1 FY27 (Jul 26)	Line two live this quarter; line three within FY27	Line two live September; line three now likely start of FY28	Partly
All calls	FY28 US$400m revenue at 40% margin	Repeated unchanged on every call, held again in October	Too-early

Narrative drift. The story itself hasn't moved: pens first, biologics as the long game, one FY28 number. What keeps moving is the timing and the balance sheet. Line three is the third capacity date to slip, debt is higher every half, and customers are paying slower. On the plus side, they still flag bad news before it lands, and the quarterly promise of steady improvement has now been kept twice.

5. Bottom line - two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

What moved: line two started and the numbers followed straight away. Revenue grew 15% in one quarter and margin rose to 31%, before the new line had a full quarter. Outside proof keeps adding up, from all four Canadian approvals to a Saudi launch by Hikma and Dr. Reddy's coming back. Demand isn't the issue; capacity is. With line three on site and Brazil approvals expected, the driver is real and live. The risk is that FY28's target needs line three running from day one, and it's already a quarter late.

Management consistent? → MAYBE vs last quarter: unchanged

What moved: one promise kept (line two), one broken (line three inside FY27). That's the pattern of this management. The FY28 target and the strategy never budge, and they're honest about bad quarters before they come. But every capacity date has slipped at least once, the "debt free" promise turned into a ratio while debt kept rising, and receivables are stretching. Line three starting by early FY28 and debt stopping its climb would move this to Yes.

★ 6. Checkpoints for next quarter

- Line three finishes qualification and runs its first commercial batch
- Dr. Reddy's supplies from OneSource restart in Canada in the December quarter
- Revenue and margin rise again on the quarter, as guided for the second half

Sources: OneSource Q2 FY27 earnings call transcript (27 Oct 2026, filed 3 Nov 2026), sourced from Screener.in; the Q1-2027 concall-tracker report covering the seven calls from Jan 2025 to Jul 2026; Screener.in financials and shareholding.